

SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

**2025CUOE053881: PATRICIA GARCIA vs SERVICE TO ACHIEVE GROWTH AND
EMPOWER, INC.**

06/22/2026 in Department 44

Motion to Compel Arbitration, Dismiss Class Claims and to Stay Proceedings

Effective **January 5, 2026**, Judge Charmaine H. Buehner and all cases previously assigned to Department J4 at the Juvenile Justice Center in Oxnard transferred to Department 44, located at the Hall of Justice, 800 South Victoria Avenue, Ventura, California 93009.

Department Rules. Parties and counsel shall follow the Department 44 rules and Zoom protocols, available at <https://www2.ventura.courts.ca.gov/Courtroom/C44>.

Remote Appearances. The Court allows Zoom appearances as a courtesy to parties and counsel. The Court does not accommodate Court Call appearances. **You MUST register by 4:00 p.m. the court day before your hearing or you will be DENIED entry to the hearing:**

ZOOM Registration Link:

<https://ventura-courts-ca.zoom.us/meeting/register/iqN7uhQSQMuoqs-9TQXgEQ>

No advance notice is required to appear in person.

Tentative Rulings. Oral argument should address the tentative decision. To submit on the tentative decision, email courtroom44@ventura.courts.ca.gov before 8:00 a.m. on the hearing date, copying all other parties, Use the subject line “SUBMISSION ON TENTATIVE”, [Case Number], [Case Title] and [Party]. If not all parties submit, the hearing will proceed, and the tentative ruling may change.

The Court may adopt, modify or reject the tentative ruling after hearing. The tentative ruling has no legal effect unless and until adopted by the Court.

Motion:

Defendant Service to Achieve Growth and Empower, Inc.’s Motion to Compel Arbitration, Dismiss Class Claims, and to Stay Proceedings

Tentative Ruling:

Defendant Service to Achieve Growth and Empower, Inc.’s Motion to Compel Arbitration, Dismiss Class Claims, and to Stay Proceedings is DENIED.

The Court will set a Complex Track Case Management Conference in 30 days, and the parties are ordered to file a joint complex case management conference statement 10 days in advance of the CMC.

I. Request for Judicial Notice of AAA Rules

The Court declines to take judicial notice of the AAA Employment/Workplace Arbitration Rules and Mediation Procedures, revised May 1, 2025. (*Vo v. Technology Credit Union* (2025) 108 Cal.App.5th 632, 640 [declining to take judicial notice of 2021 JAMS arbitration rules because they were “not in effect when the parties signed the arbitration agreement” in 2020].) The Court will, on its own, take judicial notice of the Employment Arbitration Rules and Mediation Procedures, amended and effective November 1, 2009, fee schedule amended and effective November 1, 2014, because they are not reasonably subject to dispute and can be immediately and accurately determined by resorting to the JAMS rules archival website. (Evid. Code, § 452, subd. (h); *Vo*, supra, 108 Cal.App.5th at p. 640 [taking judicial notice on its own of rules in effect at time of plaintiff’s signing of arbitration provision].) Further, they are relevant to the determination of unconscionability.

II. Relevant Background

This is a wage and hour class and PAGA action against defendant Service to Achieve and Empower, Inc. Defendant is alleged to have violated the Labor Code by failing to provide required meal and rest periods; failing to pay premium wages for missed breaks at the correct rates; failing to pay minimum, overtime, and double time wages properly; not compensating for all hours worked (including off-the-clock work); failing to reimburse necessary business expenses; providing inaccurate wage statements; unlawfully forfeiting vested vacation pay; and failing to pay all final wages upon separation. The alleged Labor Code violations form the basis for the derivative Unfair Competition Law (UCL) claim. The Complaint was filed on November 6, 2025. The operative First Amended Complaint was filed on March 19, 2026, adding the PAGA claim.

Defendant filed this motion on April 24, 2026. Plaintiff’s opposition was filed on June 5, 2026. The reply was filed on June 12, 2026.

No trial date has been set.

III. Discussion

A. Legal Framework: Motions to Compel Arbitration

“A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (Code Civ. Proc., § 1281.)

California has a strong public policy in favor of arbitration. (*Moncharsh v. Heily & Blasé* (1992) 3 Cal.4th 1, 9.) Likewise, Section 2 of the Federal Arbitration Act (FAA) provides in relevant part: “A written provision in...a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction...shall be valid,

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irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) “In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.)

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and where a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate if it determines an agreement to arbitrate the controversy exists. (Code Civ. Proc., § 1281.2; *Gorlach v. Sports Club Co.* (2012) 209 Cal.App.4th 1497, 1505 [noting that “when presented with a petition to compel arbitration, the trial court’s first task is to determine whether the parties have in fact agreed to arbitrate the dispute”].) In deciding a petition to compel arbitration, trial courts must first decide whether an enforceable arbitration agreement exists between the parties, and then determine the second gateway issue of whether the claims are covered within the scope of the agreement. (*Omar v. Ralphs Grocer Co.* (2004) 118 Cal.App.4th 955, 961.)

The initial burden is on the party petitioning to compel arbitration to prove the existence of the agreement by a preponderance of that evidence. (*Villacreses v. Molinari* (2005) 132 Cal.App.4th 1223, 1230.) Once petitioners allege that an arbitration agreement exists, the burden shifts to respondents to prove the falsity of the purported agreement, and no evidence or authentication is required to find the arbitration agreement exists. (*Condee v. Longwood Mgt. Corp.* (2001) 88 Cal.App.4th 215, 219.) A written provision in a contract to submit to arbitration for a dispute contemplated by the contract is valid, irrevocable and enforceable except on “such grounds as exist at law or in equity for the revocation of any contract.” (9 USC § 2 [contracts subject to the Federal Arbitration Act (FAA)]; Code Civ. Proc., § 1281 [contracts governed by state arbitration law].) Thus, the existence of a valid agreement to arbitrate is determined by reference to state law principles regarding the formation, revocation and enforceability of contracts generally. (See *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 385; see also *Kinney v. United Health Care Services, Inc.* (1999) 70 Cal.App.4th 1322, 1327-28.)

Code of Civil Procedure section 1281.4 provides, in relevant part: “If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (Code Civ. Proc., § 1281.4.) “The purpose of the statutory stay [under section 1281.4] is to protect the jurisdiction of the arbitrator by preserving the status quo until arbitration is resolved. [Citations.] [¶] In the absence of a stay, the continuation of the proceedings in the trial court disrupts the arbitration proceedings and can render them ineffective.” (*Federal Ins. Co. v. Superior Court* (1998) 60 Cal.App.4th 1370, 1374 1375.) Even “a single overlapping issue is sufficient to require imposition of a stay.” (*Heritage Provider Network, Inc. v. Superior Court* (2008) 158 Cal.App.4th 1146, 1153; see also *Coast Plaza Doctors Hospital v. Blue Cross of Calif.* (2000) 83 Cal.App.4th 677, 693 [staying all non arbitral claims other than for injunction]; *Federal Insurance Co., supra*, 60 Cal.App.4th at p. 1374 [stay required where continuation of proceedings in the trial court “disrupts” arbitration proceedings and “can” render those proceedings ineffective].)

B. Application

1. The Existence of An Arbitration Agreement

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for rescission of the agreement.” (Code Civ. Proc., § 1281.2.)

“The party seeking to compel arbitration bears the burden of proving by a preponderance of the evidence an agreement to arbitrate exists.” (*Nixon v. AmeriHome Mortgage Co., LLC* (2021) 67 Cal.App.5th 934, 946; see also *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 164 [“The burden of persuasion is always on the moving party to prove the existence of an arbitration agreement with the opposing party by a preponderance of the evidence.”].)

“The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent's signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543–544; see also Cal. Rules of Court, rule 3.1330.) “Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion.” (*Gamboa, supra*, 72 Cal.App.5th at p. 165.) “For purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of document authentication.” (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218; see also *People v. Skiles* (2011) 51 Cal.4th 1178, 1187 [“The means of authenticating a writing are not limited to those specified in the Evidence Code.” (citing Evid. Code, § 1410)].] and *ibid.* [“For example, a writing can be authenticated by circumstantial evidence and by its contents.”].)

Here, Defendant has produced a copy of the arbitration agreement purporting to bear Plaintiff's signature. (Lockwood Decl., ¶ 7, Exh. B.) Defendant has thus met its initial burden. (*Gamboa, supra*, 72 Cal.App.5th at p. 165.)

“If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement.” (*Gamboa, supra*, 72 Cal.App.5th at p. 165.) “The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (*Ibid.*)

Here, Plaintiff submits her own declaration, in which she concedes that Exhibit B to the Lockwood Declaration is a true and correct copy of the document she signed on December 18, 2014. (Garcia Decl., ¶¶ 5, 8.) Accordingly, the evidence establishes the existence of the arbitration agreement.

2. California Law Applies

“[C]ontracting parties may agree that the FAA will not govern their arbitration even if the contract involves interstate commerce.” (*Mastick v. TD Ameritrade, Inc.* (2012) 209 Cal.App.4th 1258, 1263.) “And if the parties agree that California law govern[s] the contract, the CAA applies.” (*Id.* at p. 1264 [citing *Volt*]; see also *Best Interiors, Inc. v. Millie & Severson, Inc.* (2008) 161 Cal.App.4th 1320, 1325-1326 [citing *Volt* and stating, “[E]ven if the FAA applies because the subcontract affects interstate commerce—a point we need not discuss—the parties may agree that California law governs their agreement to arbitrate.”].)

“A party seeking to enforce an arbitration agreement has the burden of showing FAA preemption.” (*Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 687.) “For example, a petitioner seeking an order to compel arbitration must show that the subject matter of the agreement involves interstate commerce.” (*Id.* at pp. 687-688.)

Here, while there is evidence that Defendant is engaged in interstate commerce, the language of the Agreement repeatedly selects application of California law and does not refer to the Federal Arbitration Act. (Lockwood Decl., Exh. B.) Accordingly, the Court analyzes the Agreement with reference to California law.

3. Delegation, Scope of the Agreement & Enforceability

Defendant argues that the Court’s task is limited to determining the existence of an agreement to arbitrate. (Moving Papers at 11:13 – 12:14.) Plaintiff disagrees, arguing in opposition that the provision delegates only the determination of the scope of the agreement. (Opp. at 9:13 – 10:7.)

“A delegation clause is a clause within an arbitration provision that delegates to the arbitrator gateway questions of arbitrability, such as whether the agreement covers a particular controversy or whether the arbitration provision is enforceable at all.” (*Caremark, LLC v. Chickasaw Nation* (9th Cir. 2022) 43 F.4th 1021, 1029.)

“It is well-settled under both state and federal law ‘that absent the parties’ commitment of the arbitrability decision to an arbitrator, disagreements over whether a particular dispute is within the scope of an arbitration provision are ordinarily the responsibility of a court.’ ” (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 765, quoting *Sandquist v. Lebo Automotive, Inc.* (2016) 1 Cal.5th 233, 249.) “There is a strong presumption that courts should determine the jurisdiction of arbitrators.” (*Mendoza, supra*, at p. 765 [internal quotation marks omitted]; see also *AT & T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 649 [“Unless the parties clearly and unmistakably provide otherwise, the question of whether the parties agreed to arbitrate is to be decided by the court, not the arbitrator.”].)

“Because the parties are the masters of their collective fate, they can agree to arbitrate almost any dispute—even a dispute over whether the underlying dispute is subject to arbitration. However, there is a presumption that they have not agreed to this. ‘The question whether the parties have submitted a particular dispute to arbitration, i.e., the ‘question of arbitrability,’ is ‘an issue for judicial determination [u]nless the parties clearly and unmistakably provide otherwise.’

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[Citations.]’ [Citations.]” (*Bruni v. Didion* (2008) 160 Cal.App.4th 1272, 1286.) “It seems clear that the parties can agree to have ‘arbitrability’—in the sense of the scope of the arbitration provisions—decided by the arbitrator.” (*Ibid.*) “But can the parties agree to have ‘arbitrability’—in the sense of whether the arbitration clause is valid, binding, and enforceable—decided by the arbitrator? [...] Under these circumstances, a court must look to the precise nature of the claim that the party resisting arbitration is making. If it is claiming that it never agreed to the arbitration clause at all—e.g., if it is claiming forgery or fraud in the factum—then the court must consider that claim. On the other hand, if it is not denying that it agreed to the arbitration clause, but instead it is claiming some other defense to enforcement of the arbitration clause—e.g., illegality or fraud in the inducement—then the court must enforce the ‘arbitrability’ portion of the arbitration clause by compelling the parties to submit that defense to arbitration.” (*Id.* at p. 1287.)

“Courts have held that ‘[t]here are two prerequisites for a delegation clause to be effective. First, the language of the clause must be clear and unmistakable. [Citation.] Second, the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability.’” (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 772.) “Courts presume that the parties intend courts, not arbitrators, to decide threshold issues of arbitrability.” (*Sandoval-Ryan v. Oleander Holdings, LLC* (2020) 58 Cal.App.5th 217, 223 [emphasis in original].) “Where the agreement is silent or ambiguous on the question of who decides threshold arbitrability questions, the court and not the arbitrator should decide arbitrability so as not to force unwilling parties to arbitrate a matter they reasonably thought a judge, not an arbitrator, would decide.” (*Ibid.*)

In *Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, the arbitration provision at issue provided that the parties “agree to arbitrate all disputes, claims and controversies arising out of or relating to ... (iv) the interpretation, validity, or enforceability of this Agreement, including the determination of the scope or applicability of this Section 5 [the “Arbitration of Disputes” section]. ...” (*Id.* at p. 892.) The Court of Appeal held that “[t]his language delegates to the arbitrator questions of arbitrability and is clear and unmistakable evidence that the parties intended to arbitrate arbitrability.” (*Ibid.*; see also *Malone v. Superior Court* (2014) 226 Cal.App.4th 1551, 1560 [delegation clause stating “The arbitrator has exclusive authority to resolve any dispute relating to the interpretation, applicability, or enforceability of this binding arbitration agreement” clear, unmistakable, and enforceable unless delegation clause itself was unconscionable].)

The language here is materially different. The agreement states: “All issues are for the arbitrator to decide, including the scope of this arbitration clause, but the arbitrator is bound by the terms of this agreement.” This language specifically identifies “scope” and it fails to expressly delegate validity, enforceability, formation, unconscionability, severability, or the legal effect of the alleged poison-pill provision. The clause is therefore materially less specific than the provisions in *Aanderud* and *Malone*.

Incorporation of the AAA Rules does not lead to a different conclusion. Plaintiff submits evidence that, at the time of her hire, she had only a high school education; had not attended any college; had no legal training; had no familiarity with arbitration or the legal system; was not provided with a copy of the AAA Rules; and was not told where to find them. (Garcia Decl., ¶¶ 2-3, 6.)

In sum, the Court finds that the delegation clause clearly and unmistakably delegates to the arbitrator whether the arbitration agreement covers the scope of the agreement, but does not clearly and unmistakably delegate the issue of enforceability to the arbitrator. As explained below, the Court's finding that the agreement is unenforceable under *Armendariz v. Foundation Health Psychare Services, Inc.* (2000) 24 Cal.4th 83 ("*Armendariz*"), moots the delegation to the arbitrator of the scope issue.

4. Enforceability under *Armendariz*

Armendariz applies where a plaintiff alleges any claim for enforcement of rights under a statute enacted for a public reason. (*Mercuro v. Superior Court* (2002) 96 Cal.App.4th 167, 180 [holding *Armendariz* is not limited to FEHA claims, stating "[U]nder the Supreme Court's analysis, such scrutiny should apply to the enforcement of rights under any statute enacted 'for a public reason.'"]; but cf. *Giuliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276 [holding *Armendariz* did not apply in suit for nonpayment of bonus and severance payment due under contract, breach of contract, and declaratory relief "because it is not based on the FEHA or a fundamental public policy that is tied to a constitutional or statutory provision"] and *Parker v. McCaw* (2007) 125 Cal.App.4th 1494, 1507 [stating, "The unconscionability rules of *Armendariz* have no application here" in claims arising out of breach of employment agreement and stock incentive agreement].) The Labor Code statutes at issue in Plaintiff's lawsuit reflect a public policy of protecting employees' rights to full and prompt payment of wages owed. Such rights are unwaivable. (*Crab Addison, Inc. v. Superior Court* (2008) 169 Cal.App.4th 958, 970; see also *Verdugo v. Alliantgroup, L.P.* (2015) 237 Cal.App.4th 141, 156 ["The Labor Code provisions underlying all of Verdugo's claims further California's fundamental public policy of requiring California employers to fully and promptly pay all wages due their employees."].) Thus, it is appropriate to apply an *Armendariz* analysis to the agreement at issue.

"Under *Armendariz*, an arbitration agreement is lawful if it: (1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators' fees or expenses as a condition of access to the arbitration forum." (*Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 256, quoting *Armendariz, supra*, 24 Cal.4th at p. 102.)

As set forth above, the Court takes judicial notice of the relevant AAA Rules from 2014, when Plaintiff signed the arbitration provision. Initially, the Court notes that the agreement states that any arbitration will proceed under the AAA Rules and California law "as modified by this agreement," which the Court interprets as meaning that the language of the agreement supersedes AAA rules in the event of a conflict.

Turning to the first of the five factors, the agreement provides for arbitration with AAA, which is a provider of neutral arbitrators. This factor complies with *Armendariz*.

Next, the agreement is silent on discovery. The 2014 AAA Rules pertaining to discovery provide as follows:

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The arbitrator shall have the authority to order such discovery, by way of deposition, interrogatory, document production, or otherwise, as the arbitrator considers necessary to a full and fair exploration of the issues in dispute, consistent with the expedited nature of arbitration. The AAA does not require notice of discovery related matters and communications unless a dispute arises. At that time, the parties should notify the AAA of the dispute so that it may be presented to the arbitrator for determination.

(2014 AAA Rules, § 9 at p. 14.) Although this provision provides for the same methods of discovery as the Civil Discovery Act, it does not entitle Plaintiff to use those methods, especially in any particular amount, unless the arbitrator orders it after considering whether it is necessary. That being said, the same provision appears to provide that discovery issues will be brought to the arbitrator's attention only if a dispute arises, suggesting that the parties may commence discovery as they see fit until such a dispute might arise. The Court finds that the language can reasonably be interpreted as not entitling Plaintiff to minimal discovery and as permitting Defendant to resist discovery and therefore attempt to dictate its scope, with the arbitrator becoming involved only when the inevitable dispute arises. This factor is therefore contrary to *Armendariz*.

The arbitration provision is silent on written awards. The AAA Rules provide for a written award. (Id., § 39, subd. c.) This factor thus complies with *Armendariz*.

As to the fourth factor, the AAA Rules provide that the arbitrator “may grant any remedy or relief that would have been available to the parties had the matter been heard in court including awards of attorney’s fees and costs, in accordance with applicable law.” (Id., § 39, subd. d.) But the arbitration provision appears to conflict with the AAA rule in several respects. First, the provision expressly provides that “each party will bear the expenses of its own counsel, experts, witnesses, and preparation and presentation of evidence.” Although Defendant may argue that this is simply a statement of the American Rule, the plain language of the provision indicates that it is not limited timewise. Second, the provision provides for a waiver of punitive damages, even if the arbitration provision is found to be invalid. Finally, the provision provides that the arbitrator may not award any damages, including punitive damages, “not measured by the prevailing party’s actual damages.” The damages limitation is at least reasonably susceptible to the interpretation that the arbitrator may not award general or noneconomic damages, including emotional distress damages, because such damages are not measured by a fixed amount of economic loss. A mandatory employment arbitration agreement may not restrict an employee’s statutory remedies. The Court therefore finds that this factor is contrary to *Armendariz*.

Finally, the arbitration provision expressly provides that Plaintiff and Defendant will divide “all fees and expenses of arbitration.” (Lockwood Decl., Exh. B.) This directly conflicts with several of the AAA Rules, which provide that the employer “shall pay the arbitrator’s compensation unless the employee, post dispute, voluntarily elects to pay a portion of the arbitrator’s compensation” (2014 AAA Rules, §§ 45, 48); provide that an employee’s initial filing fee is limited to \$200 (Id., § 48, subd. (i)); and provide that daily hearing fees, hearing room rental fees, and arbitrator expenses relating to travel and other expenses, are all payable by the employer. (Id., § 48, subds. (ii), (iv), (vi).) Given the express language of the agreement that resolves conflicts in favor of the arbitration provision, the Court finds that this factor is also contrary to *Armendariz*.

In sum, several provisions of the arbitration agreement are contrary to Armendariz. Accordingly, the Court finds the agreement to be unenforceable and denies the motion for this independent reason.

5. Defense to Arbitration: Unconscionability

“Once an agreement to arbitrate has been proved, the burden shifts to the party opposing arbitration to establish a defense to the enforcement of the agreement, including the burden of demonstrating that the exemption [from arbitration] applies.” (*Nixon v. AmeriHome Mortgage Co., LLC*, *supra*, 67 Cal.App.5th at p. 946 [internal quotation marks and citation omitted].)

“Unconscionability in a contract is one reason a court may decline enforcement.” (*Lange v. Monster Energy Co.* (2020) 46 Cal.App.5th 436, 445.) “If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.” (Civ. Code, § 1670.5, subd. (a); see also *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 505 “[A]n unconscionability assessment focuses on circumstances known at the time the agreement was made.”].)

“The general principles of unconscionability are well established. A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party.” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125.)

“Unconscionability consists of both procedural and substantive elements. The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) “Both procedural unconscionability and substantive unconscionability must be shown, but they need not be present in the same degree and are evaluated on a sliding scale.” (Id. at p. 247, quoting *Armendariz*, *supra*, 24 Cal.4th at p. 114 (internal quotation marks omitted)].) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz*, *supra*, at p. 114.)

“The party resisting arbitration bears the burden of proving unconscionability.” (*Pinnacle Museum Tower*, *supra*, at p. 247.)

a. Procedural Unconscionability

“Unconscionability analysis begins with an inquiry into whether the contract is one of adhesion.” (*Armendariz*, *supra*, 24 Cal.4th at p. 113.) “An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power ‘on a take-it-or-leave-it basis.’” (*OTO, L.L.C. v. Kho*, *supra*, 8 Cal.5th at p. 126, quoting *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1245.)

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“Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 247.) “The circumstances relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney.” (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348, as modified on denial of reh’g (Feb. 9, 2015).)

Plaintiff states in her declaration that she was given more than twenty onboarding documents to sign or initial in order to start work; that the arbitration document was not separately explained or flagged; that she was not given the AAA Rules; that no one told her she could decline to sign, take the document home, consult counsel, or negotiate; that she needed the job; and that she understood signing was required to begin employment. Plaintiff also states she had a high school education, no legal training, no familiarity with arbitration, and that English is not the only language spoken in her household. It was Plaintiff’s understanding that signing all documents was required in order to be hired. (Garcia Decl., ¶¶ 2-10.)

Conversely, Defendant’s evidence is that employees were generally permitted to review documents at their own pace and ask to take documents home. Onboarding took place on site, and a human resources representative was nearby in the event of any questions. Defendant does not address whether signing the documents was a condition of employment. (Lockwood Decl., ¶ 6.)

Although the agreement is a dense, single-paragraph form containing multiple waivers and limitations, it was still a separate document that conspicuously stated “Binding Arbitration” in all capital letters at the time. It clearly states in all capital letters that signing “affects rights you may otherwise have” and states that disputes will be resolved “through arbitration” and “not by a lawsuit or resort to court process.” Further, it is implied that Plaintiff could have sought to have an attorney review the document by the language “or it has been explained to me by my qualified legal representative.” Although Plaintiff states that English is not the only language spoken in her home, the implication is that English is spoken at home. Further, Plaintiff does have a high school education, as opposed to an elementary school education, and does not assert that she does not speak or understand English.

Considering all the evidence and reasonable inferences drawn therefrom, the Court finds that Defendant created the impression that signing the agreement was a condition of employment; that Plaintiff understood that to be the case; and that Plaintiff reasonably believed that she had no choice but to sign the agreement as a condition of employment. Accordingly, the Court finds that the arbitration provision was a contract of adhesion. That, however, only indicates a low degree of procedural unconscionability. (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 494 [“[A]dhesion alone generally indicates only a low degree of procedural unconscionability[.]”].)

b. Substantive Unconscionability

“A court should consider substantive unconscionability only after procedural unconscionability has been established. A ‘conclusion that a contract contains no element of procedural unconscionability is tantamount to saying that, no matter how one-sided the contract terms, a court will not disturb the contract because of its confidence that the contract was negotiated or chosen freely, that the party subject to a seemingly one-sided term is presumed to have obtained some advantage from conceding the term or that, if one party negotiated poorly, it is not the court's place to rectify these kinds of errors or asymmetries.’” (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 494, quoting *Gentry v. Superior Court* (2007) 42 Cal.4th 443, 470.)

“Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC, supra*, 55 Cal.4th at p. 246.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to shock the conscience.” (*Ibid.* internal quotation marks and citation omitted.)

Here, the agreement contains multiple substantively unconscionable terms.

First, as set forth above, the fee-splitting provision requires Plaintiff to share arbitration fees and expenses with Defendant. That provision conflicts with *Armendariz* because a mandatory employment arbitration agreement may not require an employee to pay arbitrator fees or expenses that would not be required in court.

Second, the damages limitation restricts the arbitrator’s authority to award punitive damages or any damages not measured by actual damages, except where prohibited by law. As noted by Defendant in a footnote in its brief, Plaintiff has filed a separate lawsuit asserting FEHA claims, which provide for general damages. Further, Defendant has filed a Notice of Related Case and expressed its intent to move to compel Plaintiff to arbitrate those claims as well once the cases are related. This limitation therefore improperly threatens to reduce or eliminate statutory remedies. (*Dougherty v. Roseville Heritage Partners* (2020) 47 Cal.App.5th 93, 106 [“[A]n arbitration agreement may not limit statutorily imposed remedies such as punitive damages and attorney fees.” (internal quotation marks omitted)].) Even if Plaintiff’s other lawsuit is not considered here, the result is the same, as “an unconscionability evaluation looks to when the contract was made.” (*Ramirez, supra*, 16 Cal.5th at p. 503, fn. 6; see also Civ. Code, §1670.5, subd. (a).)

Third, the confidentiality provision is one-sided. It states that Plaintiff “shall not disclose the existence, contents, or results of any arbitration.” It does not impose the same obligation on Defendant. This one-sided confidentiality term favors the repeat-player employer and restricts an employee’s ability to investigate, communicate about, or discover similar claims. (*Ramos v. Superior Court* (2018) Cal.App.5th 1042, 1065-1067 [provision requiring that “all aspects of the arbitration” be maintained in strict confidence held to be substantively unconscionable because “[i]t is hard to see how she could engage in informal discovery or contact witnesses without violating” the provision]; *Gurganus v. IGS Solutions LLC* (2025) 115 Cal.App.5th 327, 339

[citing Ramos and reaching same conclusion as to effect on informal discovery with regard to confidentiality provision in that case].)

Fourth, the arbitration provides that if it is deemed inapplicable or invalid, Plaintiff waives, to the fullest extent permitted by law, the right to pursue class, consolidated, or representative claims, the right to jury trial, and claims for punitive or exemplary damages. The waiver language applies to “you,” i.e., Plaintiff. It does not impose parallel waivers on Defendant. It is also therefore one-sided. Further, jury trial waivers have already been held to be unconscionable. (*Lange v. Monster Energy Co.* (2020) 46 Cal.App.5th 436, 451-452; *Dougherty v. Roseville Heritage Partners* (2020) 47 Cal.App.5th 93, 107 “[O]ur Supreme Court has made clear that predispute contractual jury trial waivers are unenforceable under California law.”).)

Fifth, the agreement includes a one-sided pre-arbitration notice structure by requiring Plaintiff to present disputes to Defendant before initiating arbitration, without imposing a materially comparable obligation on Defendant. Such provisions have drawn scrutiny from the Courts of Appeal because they provide a “free peek” at the employee’s case, especially when combined with other unconscionable provisions. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1282-1283 [“Given the unilateral nature of the arbitration agreement, requiring plaintiff to submit to an employer-controlled dispute resolution mechanism (i.e., one without a neutral mediator) suggests that defendant would receive a ‘free peek’ at plaintiff’s case, thereby obtaining an advantage if and when plaintiff were to later demand arbitration.”]);

Carlson v. Home Team Pest Defense, Inc. (2015) 239 Cal.App.4th 619, 635 [discussing similar provision and citing *Nyulassy*].)

Sixth, the agreement is unusually broad. It covers disputes relating not only to employment, but also to Defendant’s services, equipment used in connection with Defendant’s services, and any relationship involving Defendant and/or Tri-Counties Regional Center. Plaintiff states she had no employment or contractual relationship with Tri-Counties Regional Center and did not understand why that entity appeared in her employment onboarding arbitration document. (Garcia Decl., ¶ 9.) The breadth of the clause reinforces the lack of mutuality and the surprise concerns.

Considering the agreement as a whole and under the sliding scale, the Court finds that the low procedural unconscionability and multiple substantively unconscionable provisions render the agreement unenforceable. (*Stoker v. Blue Origin, LLC* (2026) 120 Cal.App.5th 91, 112-115 [affirming trial court’s finding that agreement was unenforceable and refusal to sever several provisions despite severance provision].) The motion is thus denied for this independent reason.

6. The “Poison Pill” Provision

The parties disagree about whether the agreement contains a “poison pill” provision. The language in dispute states as follows:

Further, you agree that the arbitrator may not consolidate proceedings or more than one person’s claims, and may not otherwise preside over any form of a representative or class proceeding, and that if this specific provision is found to be unenforceable, then this entire arbitration clause shall be null and void. (Lockwood Decl., Exh. B.)

The Court finds that this sentence cannot, and should not be, read in isolation but must also be considered in light of the immediately preceding sentence, which states as follows:

You and Service to Achieve Growth and Empower, Inc. agree that any arbitration will be conducted on an individual basis and not on a consolidated basis, class wide or representative basis. (*Ibid.*)

Read in isolation, the agreement provides that arbitration must proceed only on an individual basis and not on a consolidated, class wide, or representative basis. Read together, agreement provides that if this specific provision is found unenforceable, the entire arbitration clause shall be null and void. This is a non-severability or “poison pill” clause. Because the provision purports to waive representative proceedings, it includes at least a waiver of representative PAGA claims. To the extent that waiver is unenforceable, the parties’ own language makes the waiver non-severable and renders the entire arbitration clause null and void. (*DeMarinis v. Heritage Bank of Commerce* (2023) 98 Cal.App.5th 776, 787-788; *Westmoreland v. KinderCare Education LLC* (2023) 90 Cal.App.5th 967, 972, 982.)

Consequently, the Court finds that the arbitration agreement is unenforceable for this independent reason as well.

IV. Disposition

For the reasons stated herein, the motion is denied. Defendant has requested a statement of decision in the event the Court denies its motion. The Court will prepare one as requested. (Code Civ. Proc., §§ 632, 1291.)

Counsel for Plaintiff is ordered to give notice of the Court’s ruling.